Skyline Capital Partners – Market Selection & Unit Mix Optimization

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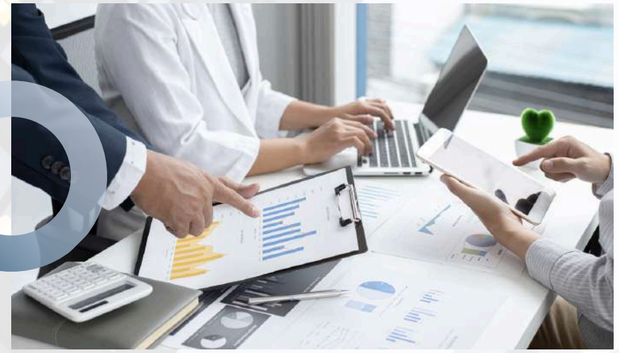
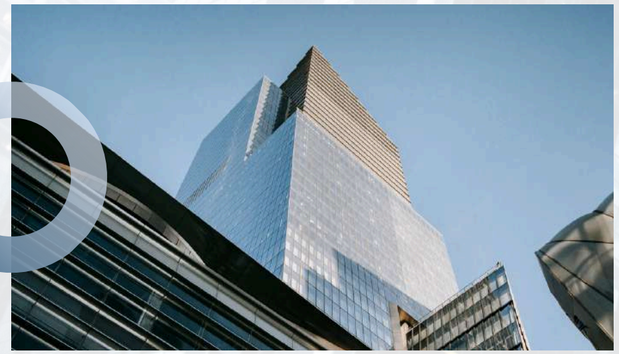
Growing Demand for Multi-Family Investments

- Demand for Class B apartments is rising due to affordability and increasing urban migration.
- Investors are looking for stable, high-growth real estate markets.
- Skyline Capital Partners is expanding into a high-potential market – but which one offers the best ROI?

What Makes a **Good** Market?





- **Net Operative Income – Higher is better.**
- **Vacancy Rate – Lower is better.**
- **Operating Expenses – Lower means efficiency.**
- **Equity Growth – Long-term appreciation.**
- **Risk Factors – Market stability matters**

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The Challenge – Where Should We Invest?

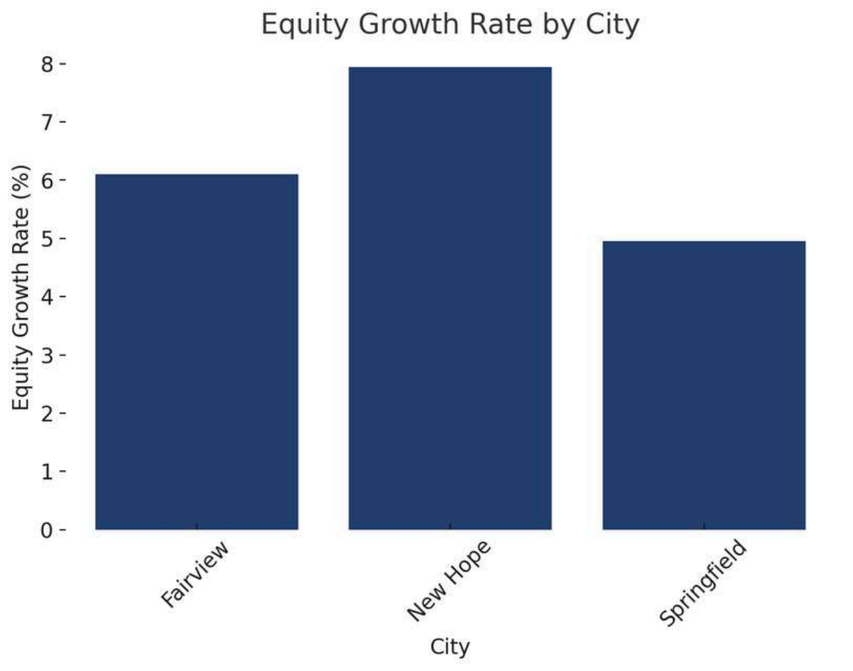
We evaluated three potential markets: Fairview, New Hope, Springfield

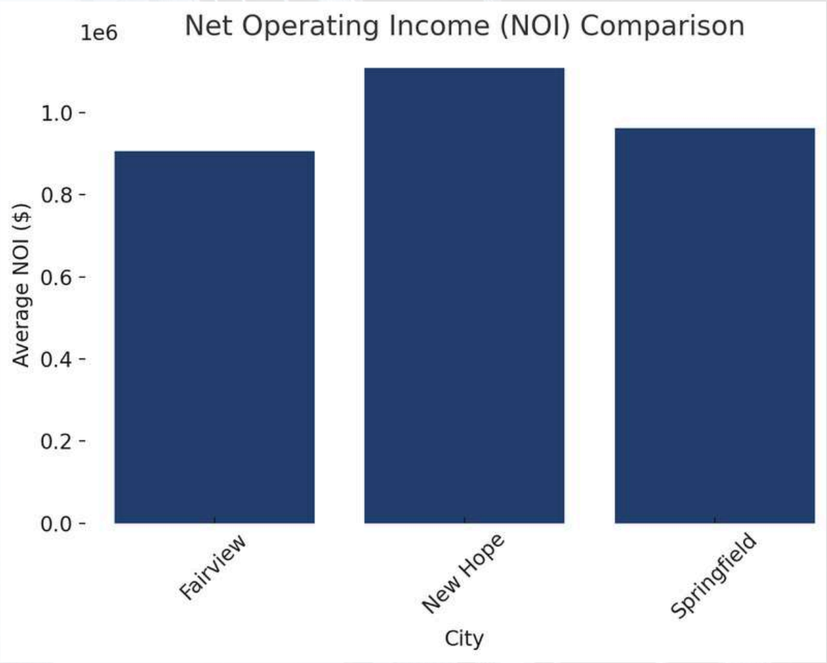
Where do we get the highest return on investment?

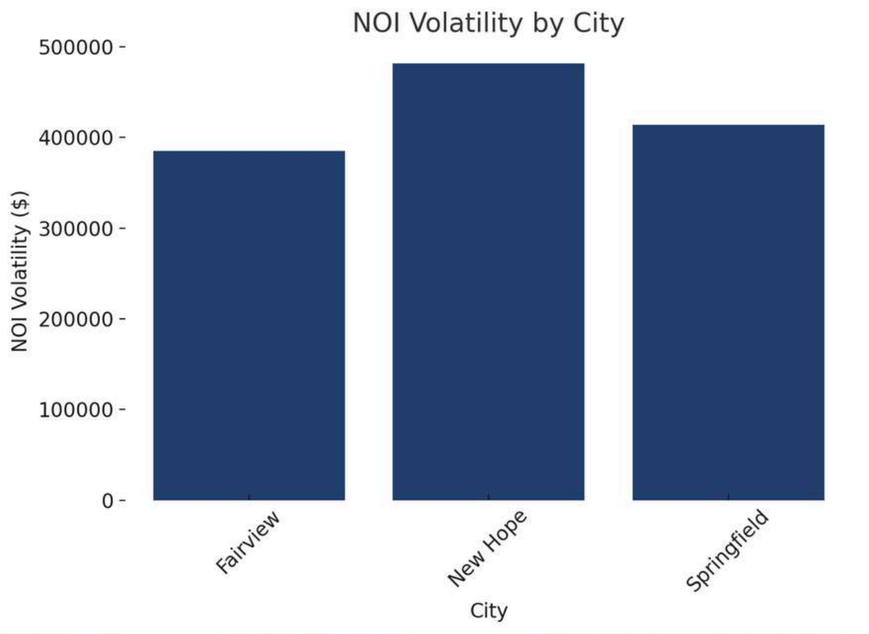
Deciding Factors

- Net Operating Income (NOI)
- Vacancy Rates
- Operating Costs
- Equity Growth
- Risk Factors

Market Performance Analysis







Market Performance Analysis

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Market Performance Analysis:
           City       Avg_NOI  Avg_Vacancy_Rate  Avg_Operating_Expense_Ratio
0      Fairview  9.061587e+05          9.991492                    57.253807
1      New Hope  1.108207e+06         10.182236                    50.295695
2  Springfield  9.623995e+05          9.966866                    52.085178

Equity Growth Analysis:
           City  Equity Growth Rate
0      Fairview            0.060993
1      New Hope            0.079414
2  Springfield            0.049633

Risk Analysis:
           City  NOI_Volatility  Vacancy_Volatility
0      Fairview   385123.853317            5.750695
1      New Hope   481472.903492            5.272120
2  Springfield   413986.981177            4.801711
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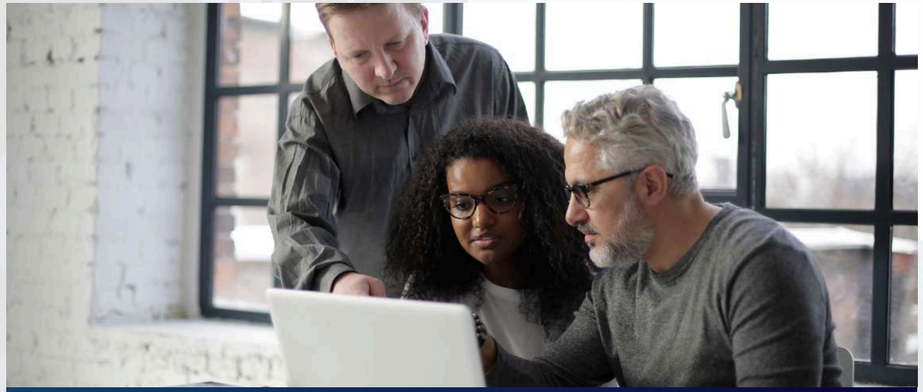
Market Performance Breakdown

NET OPERATING INCOME (NOI):
FAIRVIEW: $906,158
NEW HOPE: $1,108,207 (HIGHEST PROFITABILITY)
SPRINGFIELD: $962,400

VACANCY RATE:
FAIRVIEW: 9.99%
NEW HOPE: 10.18%
SPRINGFIELD: 9.97% (LOWEST VACANCY)

OPERATING EXPENSE RATIO:
FAIRVIEW: 57.25%
NEW HOPE: 50.30% (MOST EFFICIENT)
SPRINGFIELD: 52.09%



New Hope –
The Best Investment Opportunity

HIGHEST NOI ($1.1M) AND LOWEST OPERATING EXPENSE RATIO (50.3%)

- ✓ STRONGEST EQUITY GROWTH (7.94%)
- ✓ HIGHER RISK, BUT BEST LONG-TERM RETURNS
- ✓ FAVORABLE DEMAND TRENDS AND RENTAL PRICE GROWTH

How Do We **Maximize Profitability** in New Hope?

Constraints to Consider

- 85 total units
- 80,000 sq. ft. total space
- Studio = 800 sq. ft. | 1-Bedroom = 1,200 sq. ft.

Objective: Find the optimal mix that generates the highest profit while meeting demand.

THE BEST UNIT ALLOCATION FOR INVESTMENT

Optimal Allocation:

- **55 Studio Units**
- **30 1-Bedroom Units**

✓ **Projected Annual Profit: $1,019,499**

✓ Meets demand constraints while maximizing revenue.

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Optimal Unit Mix for Maximum Profit:
- Studio Units: 55
- 1-Bedroom Units: 30
- Projected Annual Profit: $1,019,499.42
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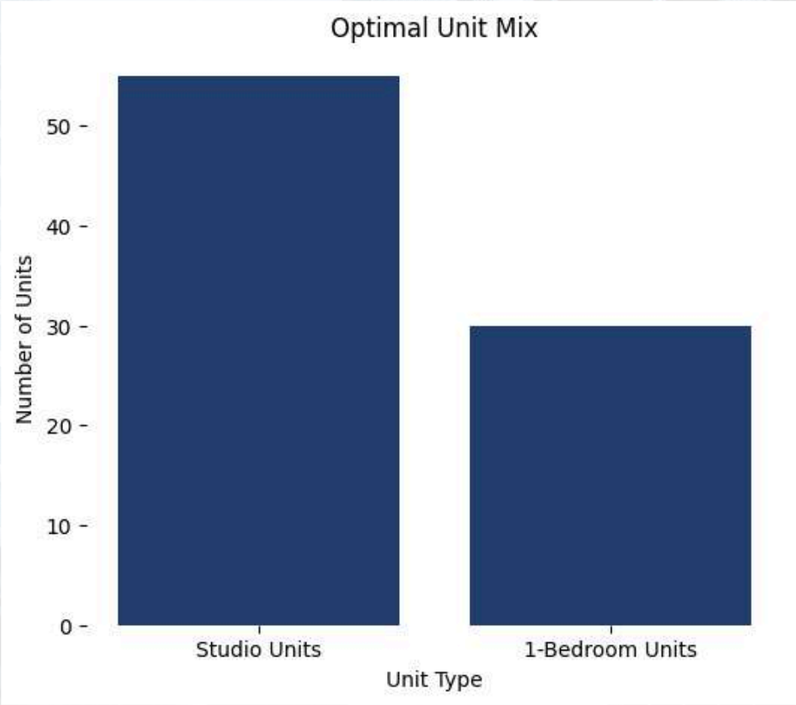

Monte Carlo Simulation – Key Insights

Expected Mean Profit: $826,623

✓ The project is projected to generate strong positive cash flow annually.

Standard Deviation of Profit: $49,296

✓ Profit may fluctuate slightly, but remains stable.

Probability of Profitability: 100%

✓ Every simulated scenario resulted in positive profits, indicating low financial risk.

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Expected Mean Profit: $826,623.65
Standard Deviation of Profit: $49,296.34
Probability of Profitability: 100.00%
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Monte Carlo Simulation – Key Insights

✓ **Normal Distribution:**

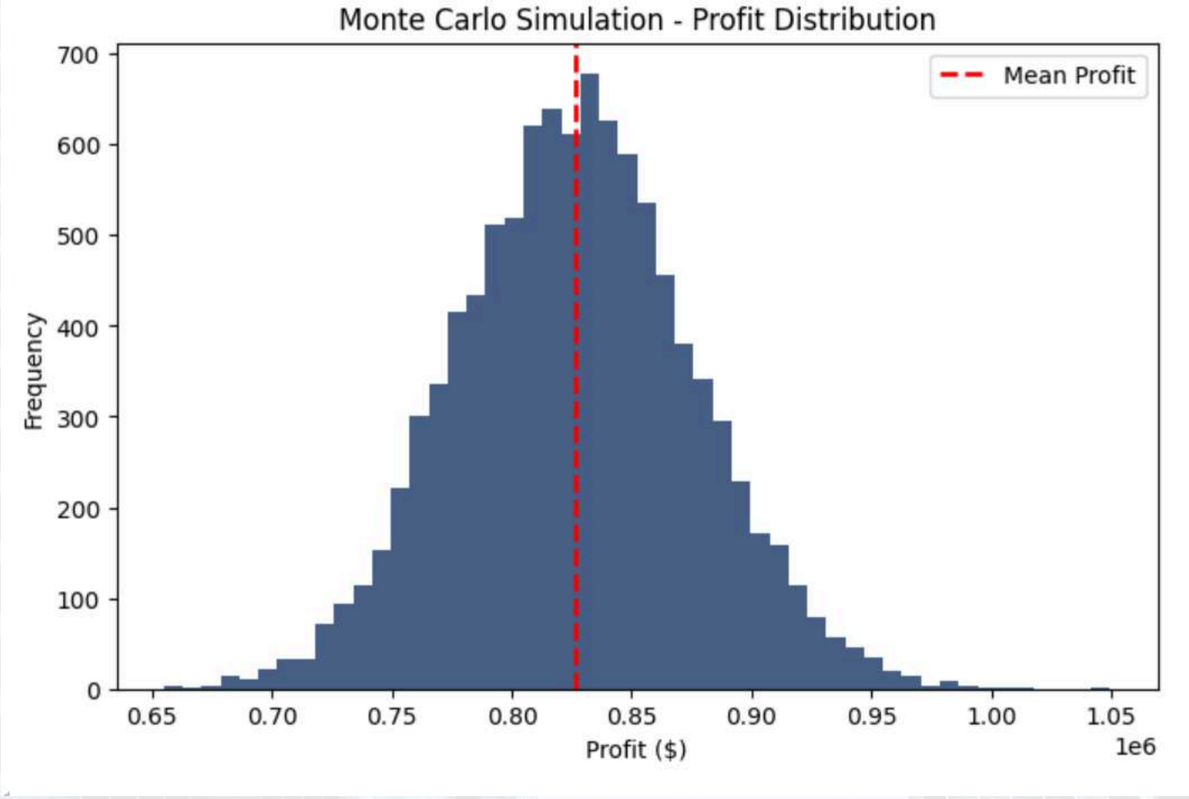
- The histogram follows a bell-shaped curve, indicating a normal distribution of profit outcomes.
- This suggests that profit variations are predictable and centered around the mean.

✓ Mean & Standard Deviation:

- Mean Profit (~$826,623): The expected profit, shown by the red dashed line.
- Standard Deviation (~$49,296): Measures how much profit fluctuates around the mean.
- Approximately 68% of simulated profits fall within one standard deviation (~$777K–$876K), following the Empirical Rule (68-95-99.7 rule).

✓ **Probability of Loss:**

- Since all values remain above zero, the probability of loss is 0%, confirming low financial risk.



What this means for Our Business

- Expected annual cash flow: $1.02M in net profit.
- High-demand rental units ensure long-term stability.
- Expansion in New Hope aligns with strategic growth plans.

Key Takeaways & Action Plan

✓ New Hope is the strongest market based on financial performance.

✓ Optimal unit mix ensures maximum return on investment.

✓ Projected profit of $1.02M annually secures financial sustainability.

Appendix – Methodology, Sources & Assumptions

- Methodology:

✓ Market Selection Analysis: Evaluated NOI, vacancy rates, expenses, and risk factors across Fairview, New Hope, and Springfield.

✓ Unit Mix Optimization: Used a mathematical model to balance unit allocation with profitability constraints.

✓ Monte Carlo Simulation: Ran 10,000 iterations to model profit volatility and risk.

- Data Sources:

✓ Skyline Capital Partners' internal financial reports.

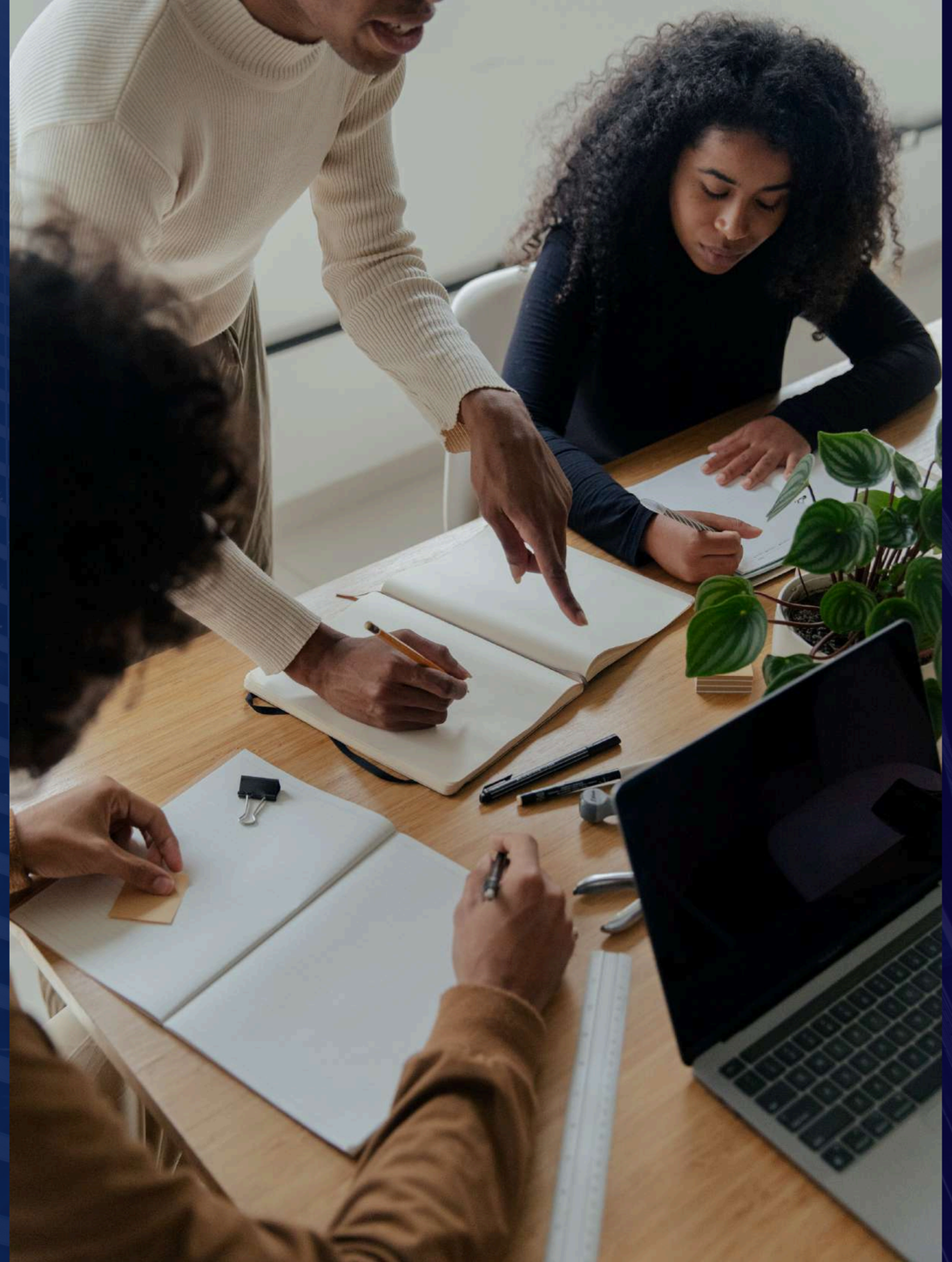
✓ Market research reports on Class B apartment demand.

✓ Industry benchmarks for NOI, operating costs, and vacancy rates.

- ChatGPT Contributions:

✓ Assisted in data analysis, Monte Carlo simulation modeling, and visualization recommendations.

✓ Helped in structuring insights for stakeholder communication in the report & presentation.

Thank **You.**

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